ETHAM EATERY · OPERATIONS

Stock, Recipes and Purchasing

How ingredients move from your supplier to the plate — what the system records at each step, which reports answer which question, and what you can change yourself without calling us.

Prepared for Etham Eatery · **System** ERPNext v16 + Restaurant POS
Date 25 August 2026 · **Covers** the stock flow, the reports, and day-to-day configuration

> **Read this first.** Your menu is live and selling, but the system is not yet tracking a single ingredient. Nothing is broken — stock tracking has simply not been switched on for Etham yet. Part 2 says exactly where you stand and Part 3 says what it takes. Everything in Part 4 is yours to run without us.

Part 1 · How stock actually moves

Eight steps. Every one of them writes a line in the stock ledger, so any number in any report can be traced back to the document that caused it.

1. **You order from a supplier**

   A `Purchase Order` records what you asked for and the agreed price. It commits nothing and moves no stock — but it is what the shortage report counts as "already on the way".

   MOVES: NOTHING YET

2. **The delivery arrives**

   A `Purchase Receipt` records what actually turned up, which is often not what was ordered. **This is the step that puts stock on your shelf.** Short deliveries and rejected goods get caught here, not at month end.

   MOVES: STOCK IN ↑

3. **The bill follows**

   A `Purchase Invoice` records what you owe. Kept separate from the receipt on purpose: goods and paperwork rarely arrive together, and you should not have to hold up the kitchen for an invoice.

   MOVES: MONEY OWED ↑

4. **Prep work turns raw into ready**

   Stocks, sauces and marinades made in batches are recorded once, then drawn on by many dishes. This is also where **yield** becomes visible: 5 kg of beef on the bone is not 5 kg of trimmed beef, and pretending otherwise is what makes recipe costs lie.

   MOVES: RAW OUT ↓ · PREPPED IN ↑

5. **A waiter sells a dish**

   The till writes a `POS Invoice`. A dish is not a stocked thing — you never counted "Grilled Chicken" in the store — so nothing moves in inventory at this moment. This surprises people, and it is correct.

   MOVES: SALES ↑

6. **The kitchen's burn is booked against recipes**

   Each dish sold is looked up in its **recipe**, the ingredients are added across every sale of the service, and one entry issues them from the store. **This is the step that connects the till to the pantry** — without it, the two never meet.

   MOVES: INGREDIENTS OUT ↓

7. **Waste and staff meals are recorded**

   Spoilage, breakage, comps and staff food are booked with a reason. Skip this and every loss silently becomes "unexplained variance", which is another way of saying you will end up suspecting your team.

   MOVES: STOCK OUT ↓

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Someone counts the shelf

A physical count corrects the system to reality. The gap between what the recipes say you should have and what is actually there is the single most useful number in the whole system — it tells you whether your recipes are honest, your portions are controlled, and your stock is secure.

MOVES: CORRECTION ↕

> **The one idea worth keeping.** Two kinds of thing live in the system. **Ingredients** are counted, bought and stored. **Dishes** are sold and never counted. A **recipe** is the bridge, and it is the only reason the till can tell the store what to reduce.

Part 2 · Where Etham stands today

Measured on your live system on 25 August 2026, not estimated.

WHAT WE CHECKED	FOUND	WHAT IT MEANS
Menu items priced and sellable	**170**	The till is complete and trading.
Ingredients tracked as stock	**0**	Nothing is counted. No shelf balance exists.
Recipes linking dish to ingredient	**0**	The till cannot tell the store anything.
Stock movements recorded	**0**	No history to report on.
Reorder rules	**0**	Nothing can warn you before you run out.
Till reduces stock on sale	**Off**	Correct for now — with no recipes there is nothing to reduce.
Suppliers on file	**3 generic**	Placeholders from the demo, not your butcher or greengrocer.
Store location	**Stores - ETH**	Exists and is already attached to the till.

> **The honest summary.** If you asked the system today "what do I need to buy tomorrow", it has no way to answer. Not because the capability is missing — ERPNext does this well and we have already proven the whole loop on a test restaurant — but because Etham's own ingredients, recipes and opening counts have not been entered yet. That is the work in Part 3.

What you already own, unused

Everything below is standard in your system right now. It needs data, not development.

- Stock ledger with full traceability — every movement tied to its document
- Purchase orders, receipts, invoices and supplier records
- Recipes with costing, including sub-recipes
- Reorder rules that raise a request automatically
- Stock counts, waste entries and multi-store handling
- Batch and expiry tracking, if you ever want it on dairy and meat

Part 3 · What we build, and why

Seven pieces. Three are data entry we do with you, three are configuration, one is real development.

PIECE	TYPE	WHAT IT GIVES YOU
Ingredient catalogue	SETUP	Every ingredient as a counted item in its real unit — kilograms, litres, each — not "Nos" for everything. Wrong units are the most common reason restaurant stock reports never make sense.
Opening counts	SETUP	One physical count to give the system a truthful starting point. Everything after this is arithmetic.
Recipes	SETUP	One per dish that consumes stock. Also gives you the true food cost and margin of every plate you sell.
Recipe-driven consumption	BUILD	The nightly job that reads each sale, looks up the recipe *as you have edited it in the system*, and issues the ingredients. Our proven version read recipes from code — meaning you would have to call us to change one. That is the piece being rewritten.
Restock view	REPORT	One screen: what is below its level, how much is already on order, and what to buy. This is the "easy to see what needs restocking" you asked for.
Waste capture	BUILD	A quick way for the kitchen to log spoilage with a reason, so losses are explained rather than discovered.
Variance report	BUILD	What the recipes say you used against what the count says you actually used. The number that exposes over-portioning, waste and theft.

The reports you get

QUESTION YOU WILL ASK	WHERE IT IS ANSWERED
What do I need to buy?	`Stock Projected Qty` — on hand, on order, and the shortfall in one row
What has run out?	`Item Shortage Report`
Where did my beef go?	`Stock Ledger` — every movement, with the document behind it
What did we use this week?	`Stock Balance` — opening, in, out, closing
What is sitting too long?	`Stock Ageing` — your spoilage warning
What does this dish cost me?	The recipe's own costing, against the menu price
Are my recipes honest?	Variance report — theoretical against counted
Which waiter sold what?	`Sales by Waiter` — already live

How hard is each table working?	`Table Turns` — already live

> **A caution worth stating plainly.** Stock tracking is only as good as the habits behind it. Recipes that do not match what the kitchen actually plates, deliveries received days late, and waste that never gets logged will each produce confident, wrong numbers. The system cannot fix any of those — it can only make them visible.

Part 4 · Running it yourself

The jobs below are yours. None of them need us.

Every delivery

1. Open `Purchase Receipt` → New.
2. Pick the supplier, then add each item and the quantity **that actually arrived**.
3. Save and Submit. The shelf balance updates immediately.

If the invoice comes with the goods, use **Create** → **Purchase Invoice** from the receipt so the two stay linked.

Every service, or at close

1. Close the shift on the till as normal.
2. The consumption run books that service's ingredient burn against your recipes.
3. Nothing to do by hand — but if the kitchen changed a recipe today, change it in the system too, or tonight's numbers will be wrong.

When a recipe changes

1. Open `BOM` → find the dish.
2. Adjust quantities, or add and remove ingredients.
3. Save and Submit. It applies from the next consumption run.

Portion sizes drift over time. A recipe reviewed once a quarter is worth more than a perfect one written once.

When something is wasted

1. Open `Stock Entry` → New → type **Material Issue**.
2. Add the item and quantity, set the source to your store.
3. Write the reason in the remarks — spoiled, dropped, staff meal, comped.

Counting the shelf

1. Open `Stock Reconciliation` → New.
2. Pull in the items, enter the counted quantity against each.
3. Submit. The system corrects itself and the difference is recorded.

Count the expensive and the easily-lost weekly — meat, fish, spirits. Dry goods monthly is enough.

Setting a reorder level

1. Open the ingredient in `Item`.
2. Scroll to **Reorder** and add a row: warehouse, the level that should trigger a top-up, and how much to order.
3. Save. Below that level, the system raises the request itself.

Set the level at what you burn during the lead time, plus a buffer. A supplier who takes three days needs three days of cover, not one.

Adding a new dish

1. Open `Item` → New. Leave **Maintain Stock** unticked — a dish is sold, not counted.
2. Put it in the right menu group so it prints to the correct station.
3. Set the price, then add it to the restaurant menu.
4. If it consumes tracked ingredients, create its recipe.

Adding staff

1. Open `Waiters` from the Restaurant screen → New.
2. Enter the name and a 4–6 digit PIN, and tick Active.
3. To put them on the payroll and attendance, link an `Employee` record — the PIN they already tap then doubles as their clock-in.

> **When to call us instead.** Anything that changes the shape of the system rather than its contents: a second branch or store location, a new payment method, tax treatment, or a report that does not exist yet. Everything in this part is contents, and it is yours.

Etham Eatery · Stock, Recipes and Purchasing · 25 August 2026 · Prepared by Sokisoko